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Faced with budget woes, California Gov. Newsom wants more tax credits for Hollywood - Gov. Newsom's latest budget proposal lays out deep cuts to public universities and health care. It also seeks to more than double the tax credits for Hollywood studios — an expansion moving smoothly through the state Legislature.

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Staring down a $12 billion budget deficit, Gov. Gavin Newsom proposed steep cuts to California's health care services and public universities — all while promising more dollars to Hollywood.

Newsom on Wednesday doubled down on his proposal to expand the state's investment in film and television tax credits, incentives created by then-Gov. Arnold Schwarzenegger in 2009 to boost California's marquee industry. If passed, the state would allocate up to $750 million each year to film production, up from the current $330 million.

Despite saying that any funding request from Los Angeles unrelated to disaster recovery would be a "non-starter," Newsom deemed the tax credit expansion essential to reviving an ailing industry.

"It's on life support," he told reporters. "We need to step things up, and this is all part and parcel of economic recovery, economic growth."

Newsom's plan would also increase the amount each qualified applicant can receive, extend the credit to live action and animated series and devote more money toward independent films.

But his proposal has drawn criticism from both Democrats and Republicans who argue the state should prioritize essential programs in a tight budget year. Assembly Republican Leader James Gallagher of Chico called Newsom's proposal "tone-deaf."

"I'm not sure the rest of California will be OK with their senior programs, their disability programs, their education programs being cut in order to prop up a regional industry," said Assemblymember Corey Jackson, a Moreno Valley Democrat.

Some lawmakers warned that other states could respond with even more aggressive incentives, creating a "race to the bottom."

"It seems eminently predictable that we will be back next year with a proposal that says: 'We've fallen behind again. I don't know what happened. And now we need to do more,'" said Sen. Christopher Cabaldon, a Napa Democrat, in March.

Despite those concerns, the proposal has advanced in the state Legislature with little resistance. Assemblymember Jesse Gabriel, a Los Angeles Democrat who chairs the powerful budget committee, told CalMatters that anyone seeking large funding increases this year "should stop wasting people's time" because there isn't enough money.

Newsom's proposal is different, Gabriel said, because it would expand a longstanding, tested program that would also help offset the impact of the LA wildfires.

For Newsom, a lame-duck governor with presidential ambitions, expanding the tax credits could please the wealthy Hollywood donors who could propel his campaign.

But the handout can easily be portrayed as a tax break for the rich.

"The ads kind of make themselves," said Kim Nalder, a political science professor at California State University, Sacramento. "It's been effective in previous years to ... use (Hollywood) as an example of unserious, privileged waste."

Saving Hollywood

Hollywood has suffered. A "quadruple-whammy" of the COVID-19 pandemic that shut down productions, a Hollywood writers strike, deadly wildfires and growing production incentives from other states that lured movies out of California have decreased its nationwide share in film industry employment from 54% in 2010 to 46% in 2023, according to the bill analysis. Film production levels in Los Angeles also saw a sharp drop-off in recent years.

The industry is also struggling to compete globally, so much so that even President Donald Trump has weighed in, ordering a 100% tariff on overseas productions, though he has given no details. In response, Newsom has offered to work with Trump to develop a $7.5 billion federal tax credit.

"I applaud President Trump for recognizing that we are losing a lot of films to foreign countries, and I hope he steps up," Newsom said Wednesday.

The proposed state film tax credit expansion has united motion picture studios and entertainment industry workers, but it is the unions that have been leading the fight.

The groups backing the plan have poured at least $8.4 million into lawmakers' coffers since 2015, including nearly $6.5 million from the California State Council of Laborers alone, according to an analysis of CalMatters' Digital Democracy database. Walt Disney, a top supporter, has given nearly $750,000 to lawmakers since 2015.

Dozens of unionized workers have filled legislative hearing rooms and spilled into the hallways as they testify in support.

"We are the thousands of artisans whose names whip by in the credit roll at the end of the movie. Not those that appear in huge letters and fade slowly at the beginning of the movie. We don't go to the award shows. We work the award shows," said Renata Ray, representing a chapter of the International Alliance of Theatrical Stage Employees.

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